

05/11/2024

MTN Rwandacell Plc
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Company Code: 100019148



4 November 2024

Chief Executive Officer
Rwanda Stock Exchange
Kigali, Rwanda

Ref: 005/GMCS/MTN/2024

Dear Sir,

**RE: SUBMISSION OF MTN RWANDACELL PLC Q3 2024 TRADING STATEMENT NOTICE FOR
MARKET DISSEMINATION**

We kindly submit to you, MTN Rwandacell Plc's Q3 2024 Trading Statement notice for dissemination to the market.

Yours Faithfully,

Sharon Mazimhaka
General Manager, Corporate Services and Company Secretary



Trading Statement Notification

In accordance with the Issuer's Continuing Obligations under the Rwanda Stock Exchange (RSE) Rule Book 2013, which requires prompt disclosure of material information to enable proper assessment of the financial position of an issuer, MTN Rwandacell Plc (MTN Rwanda) hereby issues this trading statement for the benefit of the capital markets and the public.

As MTN Rwanda prepares to finalize its unaudited results for the nine months ending 30 September 2024 (Q3 2024), we wish to inform the market and the public that net earnings for this period are expected to be significantly lower than those reported for the same period in 2023 (Q3 2023).

The anticipated decline is primarily attributed to:

1. A decline in voice revenues following the Regulatory decision to apply zero-rating on local mobile termination rates (MTR) effective from August 2023.
2. Increased interconnect costs associated with the increased outbound traffic to permanent roamers in the One Network Area (ONA) areas of South Sudan and Uganda, as a result of the zero rating of mobile termination rates.
3. One-off costs associated with the low cost 4G smartphone subsidy program for the Ikosora handsets, to support the Connect Rwanda 2.0 campaign.
4. Increased operating expenses driven by the 14.82% average depreciation of the Rwandan Franc against the US dollar over the past 9-months period, affecting foreign-denominated costs.
5. The effect of the restatement of the right of use (ROU) assets in relation to long-term leases.

MTN Rwanda's Board and management are actively implementing strategies aimed at mitigating these challenges, in order to drive a recovery in the profitability of the business.

These measures include:

1. Close participation and follow up with the Regulator on the ongoing Mobile Termination Rate study currently under review.
2. In response to a recent regulatory decision to classify local calls to roaming subscribers in the ONA (One Network Area) as international traffic, we are



currently working with other operators to proceed with the implementation of applicable termination rates.

3. Continuation of the Pricing transformation program to optimize pricing structures in order to maintain Voice and Data revenue growth above inflation.
4. Driving expense efficiencies while maintaining a disciplined approach to capital allocation, to optimize the overall cost base.
5. Developing capabilities to ensure the application of International Financial Reporting Standards.

MTN Rwanda remains dedicated to accelerating its commercial momentum, increasing service revenue, improving operational efficiency, and fortifying its balance sheet to boost profitability. The company continues to prioritize strategic initiatives to mitigate macroeconomic and regulatory challenges while ensuring value creation for our stakeholders.

MTN Rwanda expects to release its Q3 2024 results around 5 November 2024.

A handwritten signature in black ink, appearing to read "Mapula Bodibe".

Mapula Bodibe

Chief Executive Officer